

REPUBLIC OF KENYA

**MINISTRY OF LANDS, PUBLIC WORKS, HOUSING AND URBAN DEVELOPMENT
STATE DEPARTMENT FOR HOUSING AND URBAN DEVELOPMENT**

TENDER NO: MLPWH/SDHUD/AHP/084/2026-2027

**STANDARD TENDER DOCUMENT FOR THE PROPOSED CONSTRUCTION OF
AFFORDABLE HOUSING UNITS IN MILIMANI, KISUMU COUNTY (PHASE I)**

ISSUED BY: The Principal Secretary, State Department for Housing and Urban Development, P.O. Box 30119-00100, Nairobi, Kenya. Email: procurement@housingandurban.go.ke

ISSUED ON: 14th July, 2026 | CLOSING DATE: 11th August, 2026 at 11:00 AM EAT

SECTION I: INVITATION TO TENDER (ITT)

Tender Ref No: MLPWH/SDHUD/AHP/084/2026-2027

Tender Name: Proposed Construction of Affordable Housing Units in Milimani, Kisumu County

(Phase I) 1.1 The State Department for Housing and Urban Development invites sealed tenders for the construction of 400 No. Affordable Housing Units, including associated civil works, external drainage, and perimeter fencing in Milimani, Kisumu County. 1.2 Tendering will be conducted under open competitive method using a standardized tender document. Tendering is open to all qualified and interested Tenderers registered under NCA Category 1 (Building Works) with the National Construction Authority. 1.3 Qualified and interested tenderers may obtain further information and inspect the Tender Documents during office hours (0900 to 1500 hours EAT) at the Procurement Office, Ardhi House, 6th Floor, Wing B, Ngong Road, Nairobi. 1.4 A complete set of tender documents may be downloaded for free from the State Department's website (www.housingandurban.go.ke) or the Public Procurement Information Portal (www.tenders.go.ke). Tenderers who download the document must forward their particulars immediately to procurement@housingandurban.go.ke to facilitate any further clarification or addendum. 1.5 All Tenders must be accompanied by a Tender Security (Bid Bond) of KES 5,000,000 (Kenya Shillings Five Million Only) in the form of a bank guarantee from a commercial bank licensed by the Central Bank of Kenya. 1.6 The Tenderer shall chronologically serialize all pages of the tender documents submitted in the numerical format (i.e., 1, 2, 3, 4...) including all attachments. The tender document MUST be tape-bound. Spiral-bound documents shall be automatically disqualified. 1.7 Completed tenders must be delivered to the tender box located at Ardhi House, 6th Floor, Lift Lobby on or before Tuesday, 11th August, 2026 at 11:00 AM EAT. Electronic Tenders will not be permitted. Late tenders will be rejected.

SECTION II: EVALUATION AND QUALIFICATION CRITERIA

STAGE 1: PRELIMINARY EVALUATION (MANDATORY REQUIREMENTS)

This stage will be evaluated on a Pass/Fail basis. Failure to submit any of the following items will lead to immediate, non-reversible disqualification: | Criteria ID | Mandatory Requirement (MR) Description | | :--- | :--- | | MR 1 | Copy of Certificate of Incorporation or Registration of Business Name, certified by the Registrar of Companies. | | MR 2 | Copy of a valid KRA PIN Registration Certificate showing active Value Added Tax (VAT) and Income Tax Obligations. | | MR 3 | Copy of a Valid Tax Compliance Certificate (TCC) issued by the Kenya Revenue Authority, valid at the date of tender opening. | | MR 4 | Copy of a Valid Single Business Permit / Unified Business Permit issued by the County Government of Kisumu for the current calendar year. | | MR 5 | Copy of National Construction Authority (NCA) Registration Certificate - Category NCA 1 (Building Works) with a valid annual practicing license for 2026. | | MR 6 | Copy of Audited Financial Statements for the last three consecutive years (2023, 2024, 2025) signed and stamped by an auditor registered with ICPAK. | | MR 7 | Original Tender Security (Bid Bond) of KES 5,000,000 from a commercial bank approved by CBK, valid for 150 days from the tender opening date. | | MR 8 | Duly filled, signed, and stamped Confidential Business Questionnaire (Form SD1) and Declaration of non-debarment (Form SD2). |

STAGE 2: TECHNICAL EVALUATION CRITERIA

Bidders must score a minimum of 70% in the technical score to proceed to the Financial Evaluation stage. 1. Financial Capability (Max 25 Points) - Average Annual Construction Turnover of KES 200,000,000 over the last three (3) years (2023, 2024, 2025). (15 Points) - Evidence of access to liquid assets or credit facilities of at least KES 50,000,000. (10 Points) 2. General and Specific Construction Experience (Max 30 Points) - Experience as a prime contractor in building works for at least the last five (5) years. (10 Points) - Proof of completion of at least three (3) projects of a similar nature and complexity (Affordable housing, multi-story apartments) valued at KES 150,000,000 or above in the last five (5) years. Provide completion certificates. (20 Points) 3. Key Personnel Qualifications (Max 25 Points) - Project Manager: Bachelor's degree in Civil Engineering or Construction Management, registered with the Engineers Board of Kenya (EBK) or BORAQS, with 10+ years of active experience. (15 Points) - Site Agent: Higher Diploma in Building Construction or Civil Engineering with 5+ years of experience. (10 Points) 4. Equipment & Methodology (Max 20 Points) - Proof of ownership or lease agreements for essential equipment (concrete mixers, hoist cranes, excavators). (10 Points) - Detailed methodology statement and a logical work program/schedule (Gantt chart). (10 Points)

SECTION III: TECHNICAL SPECIFICATIONS & SCOPE OF WORKS

The project scope involves the construction of: 1. 5 Blocks of G+8 (ground plus eight stories) residential apartments totaling 400 units (1-bedroom, 2-bedroom, and 3-bedroom

configurations). 2. Internal roads, paving, and 120-slot parking bays. 3. Elevated water tanks and borehole drilling. 4. Connection to the main municipal sewer line and electricity grid.

SECTION IV: GENERAL CONDITIONS OF CONTRACT (GCC)

4.1 Definitions. In this Contract, "the Employer" means the State Department for Housing and Urban Development; "the Contractor" means the firm whose tender has been accepted; "the Works" means the construction described in Section III; "the Contract Price" means the sum stated in the Letter of Acceptance.

4.2 Language and Law. All correspondence shall be in English. This Contract shall be governed by the laws of Kenya.

4.3 Performance Security. The successful Tenderer shall, within 28 days of receipt of the Letter of Acceptance, furnish a Performance Security equivalent to 10% of the Contract Price in the form of a Bank Guarantee, valid until 90 days after the issuance of the Certificate of Completion.

4.4 Insurance. The Contractor shall, at its own expense, take out and maintain in the joint names of the Employer and the Contractor: (a) Workmen's Compensation Insurance; (b) Third Party Liability Insurance of not less than KES 20,000,000; (c) All Risks Insurance covering the Works, plant, and materials to their full replacement value.

4.5 Advance Payment. An advance payment of 10% of the Contract Price may be made upon submission of an unconditional Advance Payment Guarantee of equal value from a bank acceptable to the Employer.

4.6 Time for Completion. The Works shall be completed within 24 (twenty-four) months from the date of the Site Possession Certificate.

4.7 Liquidated Damages. Should the Contractor fail to complete the Works within the Time for Completion, the Contractor shall pay Liquidated Damages of 0.1% of the Contract Price per day of delay, up to a maximum of 10% of the Contract Price.

4.8 Defects Liability Period. A Defects Liability Period of 12 months shall apply from the date of the Certificate of Practical Completion, during which the Contractor shall remedy any defects at its own cost.

4.9 Variations. The Employer's representative may order variations to the Works. No variation shall be carried out without prior written instruction. Variations exceeding 15% of the original Contract Price shall require approval from the Public Procurement Regulatory Authority.

4.10 Dispute Resolution. Disputes shall first be referred to the Employer's representative, then to adjudication under the Kenya Institute of Arbitrators rules, and finally to arbitration in Nairobi if unresolved within 90 days.

SECTION V: SPECIAL CONDITIONS OF CONTRACT (SCC)

5.1 Retention: 5% of each Interim Payment Certificate shall be retained, half released upon Practical Completion and half upon expiry of the Defects Liability Period.

5.2 Interim Payment Certificates shall be submitted monthly and honored within 30 days of certification.

5.3 The Contractor shall employ a minimum of 60% local labor from Kisumu County residents, in compliance with the County Government's local content policy.

5.4 The Contractor shall submit monthly progress reports including photographic evidence, updated Gantt charts, and material delivery records.

5.5 A minimum of 30% of subcontracted works (electrical, plumbing, painting) shall be awarded to firms registered under AGPO (Access to Government Procurement Opportunities).

SECTION VI: BILL OF QUANTITIES (SUMMARY)

Item	Description	Unit	Approx. Quantity	Rate (KES)	Amount (KES)
A	Preliminary and General Works	Sum	1	—	45,000,000
B	Substructure (Foundations, 5 Blocks)	m³	12,500	18,500	231,250,000
C	Superstructure (Frame, Slabs, Walls)	m³	38,000	22,000	836,000,000
D	Roofing	m²	6,200	4,800	29,760,000
E	Doors, Windows & Finishes	Sum	1	—	198,400,000
F	Plumbing & Sanitary Installations	Sum	1	—	87,300,000
G	Electrical Installations	Sum	1	—	92,150,000
H	External Works (Roads, Parking, Fencing)	Sum	1	—	64,800,000
I	Water Supply (Borehole & Tanks)	Sum	1	—	38,500,000
J	Sewer Connection	Sum	1	—	21,400,000

**ESTIMATED TOTAL (Excl.
VAT)**

1,644,560,000

(Note: Bidders must provide their own priced Bill of Quantities as a separate schedule — the above is Employer's estimate for reference only and does not bind bidders.)

SECTION VII: MANDATORY FORMS TO BE COMPLETED

- **Form SD1** — Confidential Business Questionnaire
 - **Form SD2** — Declaration of Non-Debarment and Non-Conflict of Interest
 - **Form SD3** — Tender Submission Form (signed by authorized signatory)
 - **Form SD4** — Price Schedule / Priced Bill of Quantities
 - **Form SD5** — Manufacturer's/Supplier's Authorization (if applicable for major materials)
 - **Form SD6** — Litigation History Declaration (last 5 years)
 - **Form SD7** — Confirmation of Site Visit (mandatory site visit certificate, signed by Employer's representative, required before submission)
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SECTION VIII: MANDATORY SITE VISIT

A mandatory site visit shall be conducted on **25th July, 2026 at 10:00 AM** at the project site, Milimani, Kisumu County. Tenderers who do not attend and obtain a signed Site Visit Confirmation Certificate shall be disqualified at the preliminary stage.

SECTION IX: CLARIFICATIONS

Requests for clarification must be submitted in writing to procurement@housingandurban.go.ke no later than 7 days before the closing date. Responses will be circulated to all firms who registered their particulars per Clause 1.4.